

Apple Inc. (AAPL) - Investment Memo

DATE

**October 4,
2026**

PRICE

\$333.69
(close
2026-10-
02)

MARKET CAP

\$4.87T

RECOMMENDATION

Sell
(underweight)

12-MONTH

TARGET

\$290
(-13.1%)

CONVICTION

Medium

AI-generated research · not a personal recommendation or investment advice · [see disclosures](#)

Scope note: I did not read the 10-K business section or the risk-factor pages in full. Business and risk content comes from the 10-Q and 8-K exhibits, targeted filing searches and the proxy.

1. Recommendation and thesis

Apple is operating very well, with its strongest June quarter ever. At 34.8x forward earnings, though, the stock is priced for that performance to continue, and none of my DCF scenarios reaches the current price. I rate it Sell with medium conviction. The valuation is the main reason, and the stock's 30.3% one-year gain and strong momentum are the main reason I'm not more confident.

- Earnings quality is flattered by one-offs.** June-quarter gross margin of 50.1% included about 2 points from tariff refunds, and EPS included \$0.11 from them (8-K-EX-2026-07). Guidance for the September quarter is 47-48% gross margin (Q3 call summary, see sources). Test: a reported September-quarter margin at or below 48% would confirm that the 50% level was not a new baseline.
- Growth is decelerating while costs rise.** Revenue growth was 16% in the June quarter and is guided to 9-11% for September. Apple cited supply constraints on advanced chip nodes, higher memory costs and a 2.5-point FX headwind. R&D rose 32% year over year to \$11.7B in the June quarter (8-K-EX-2026-07). Test: FY27 revenue growth below the 10.5% consensus.
- FCF has not grown while the multiple is high.** TTM free cash flow is \$107.7B, versus \$108.8B in FY24 (financial history, company profile). The stock trades at 38.3x trailing and 34.8x forward earnings. Test: if FY27 EPS comes in near my \$9.40 estimate and FY28 near \$10.20, a 28.5x multiple implies about \$290 ($28.5 \times \$10.20 = \290.7).
- A CEO transition and two legal overhangs add risk.** Tim Cook transitions to Executive Chair and John Ternus becomes CEO, effective Sept 1, 2026 (8-K-2026-04-2). The Google search-

licensing remedies and the App Store injunction remain live issues (10-Q-2026-06).



Source: Yahoo Finance, dividend-adjusted.

2. Company overview

Apple sells iPhone, Mac, iPad, wearables and accessories, plus Services: the App Store, advertising, iCloud, AppleCare, payments and Google search licensing. Customers are mainly consumers. Sales go through Apple's own channels, carriers and resellers.

9M FY26 (to Jun 27, 2026)	\$B	% of sales	YoY
iPhone	196.5	53.9%	+22%
Mac	27.1	7.4%	+9%
iPad	21.7	6.0%	+3%
Wearables, Home & Accessories	27.3	7.5%	+2%
Services	91.7	25.2%	+14%
Total	364.4		+16%

Region (9M)	\$B	%	YoY
Americas	149.4	41.0%	+11%
Europe	95.6	26.2%	+16%
Greater China	64.8	17.8%	+30%
Japan	24.4	6.7%	+10%
Rest of Asia Pacific	30.2	8.3%	+19%

Figures are from 8-K-EX-2026-07. Percentages and growth rates are my calculations from those figures. Services gross margin was 75.6% in the June quarter against 40.1% for Products (10-Q-2026-06). Services was 25.2% of nine-month sales and about 39% of nine-month gross margin (\$69.96B of \$178.78B, my calculation). I did not find a customer-concentration figure in the filings I searched.

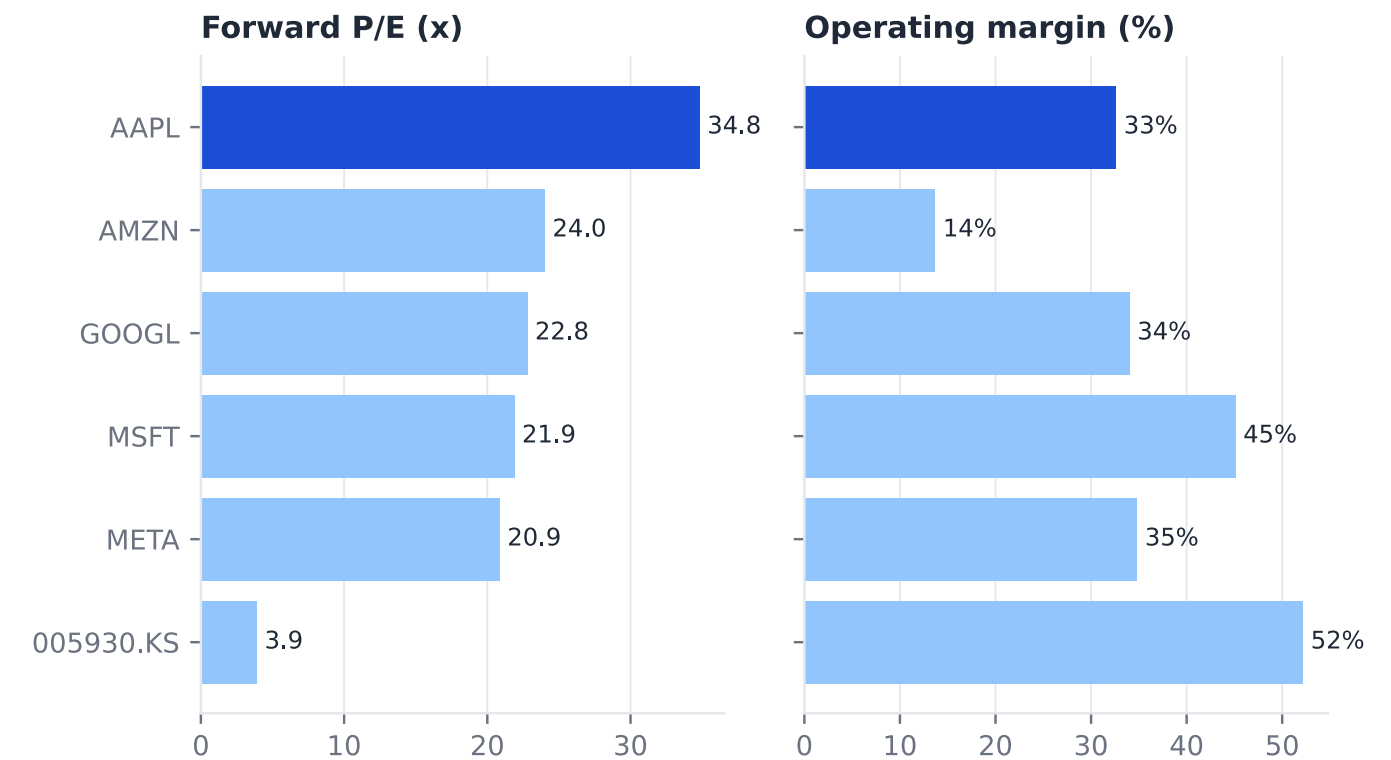
3. Industry and competitive position

Apple competes in premium smartphones, PCs and tablets, and in digital services. In my view its moat comes from the installed base (a record across all major categories and regions per the Q3 release), ecosystem lock-in, brand and scale. Weaknesses are dependence on third-party components and manufacturing (listed in the 8-K risk language), tariff and trade exposure, and regulators targeting the App Store and search-licensing economics.

	Mkt cap	Fwd P/E	TTM P/E	EV/EBITDA	P/S	Rev gr.	Op mgn	ROE
AAPL	4.87T	34.8	38.3	29.1	10.4	16.4%	32.6%	148.8%
MSFT	3.84T	21.9	28.6	20.1	11.6	17.7%	45.1%	34.0%
GOOGL	4.20T	22.8	17.2	23.7	9.4	24.2%	34.0%	48.7%
AMZN	2.71T	24.0	20.2	16.8	3.5	19.6%	13.7%	30.6%
META	1.85T	20.9	27.3	17.1	8.1	28.0%	34.8%	29.8%

Source: compare_peers. Samsung (005930.KS) was in the tool output with a local-currency market cap and 130% revenue growth, so I excluded it as not comparable.

Apple trades at a premium of roughly 11-14 forward-P/E points (34.8 versus 20.9-24.0) to the four mega-cap peers, which are growing as fast or faster. Apple's ROE is very high partly because shareholders' equity is small (\$107.5B) after years of buybacks. In my view Apple wins on hardware margin and ecosystem stickiness and lags peers on AI-platform positioning. That is my judgment, not a sourced fact. The company's AI plans centre on the "all-new Siri AI" introduced at WWDC26 (8-K-EX-2026-07).



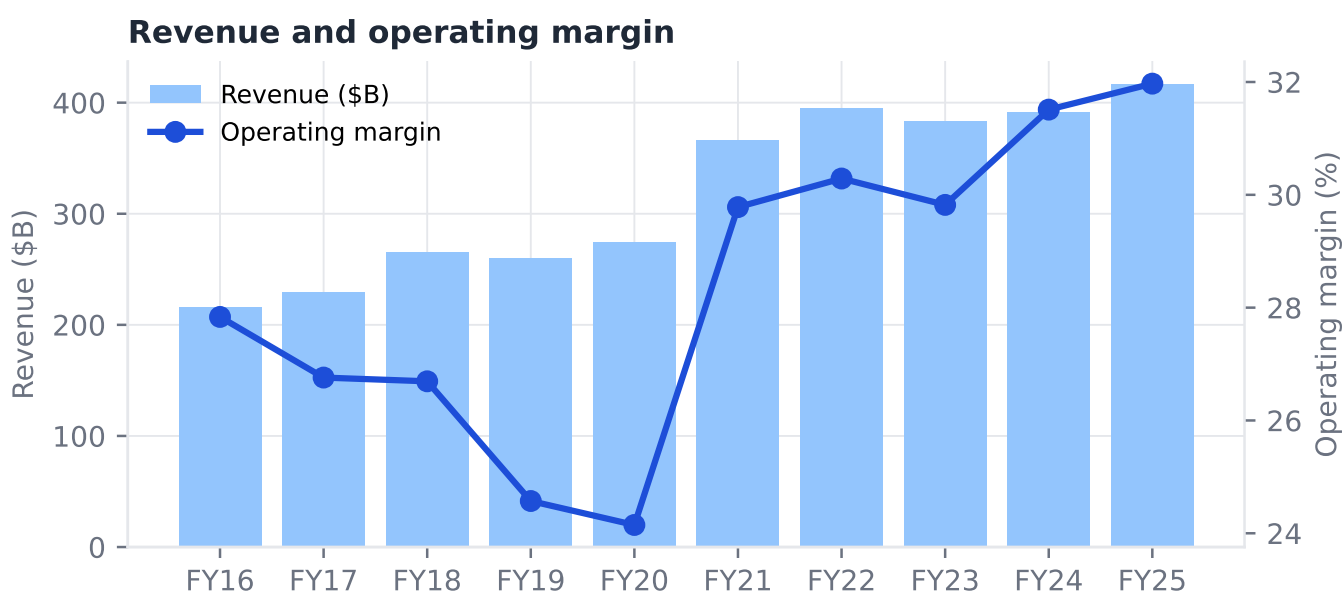
Peers chosen by the agent. Source: Yahoo Finance.

4. Financial analysis

FY (Sep)	Revenue \$B	Op margin	Net income \$B	Diluted EPS*	FCF \$B
2016	215.6	27.8%	45.7	8.31	53.5
2017	229.2	26.8%	48.4	9.21	51.8
2018	265.6	26.7%	59.5	2.98	64.1
2019	260.2	24.6%	55.3	2.97	58.9
2020	274.5	24.1%	57.4	3.28	73.4
2021	365.8	29.8%	94.7	5.61	93.0
2022	394.3	30.3%	99.8	6.11	111.4
2023	383.3	29.8%	97.0	6.13	99.6
2024	391.0	31.5%	93.7	6.08	108.8
2025	416.2	32.0%	112.0	7.46	98.8

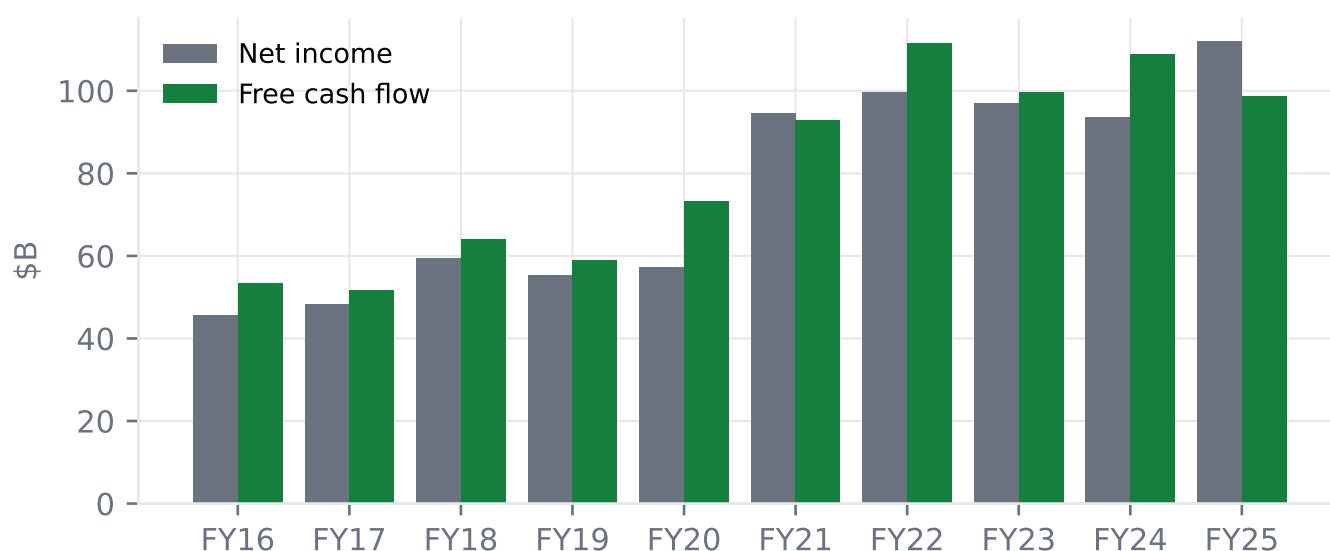
*As reported. EPS is not split-adjusted, so 2016-17 are not comparable with later years. Operating margin is my calculation from operating income and revenue.

- **Growth:** The 10-year revenue CAGR is about 7.6%, from \$215.6B to \$416.2B (my calculation). After FY22, revenue fell 2.8% in FY23, then rose 2.0% in FY24 and 6.4% in FY25 (my calculations). Nine-month FY26 growth is +16%.
- **Margins:** Operating margin rose from 24-27% to 32% by FY25. Nine-month FY26 operating margin is 33.6% (\$122.4B on \$364.4B, my calculation). Services is the higher-margin mix, which I believe is a main driver, though I did not quantify it.
- **Cash conversion:** FY25 FCF was \$98.8B, or 88% of net income (my calculation). FY26 nine-month operating cash flow was \$117.0B and capex was \$6.8B. Other liabilities contributed a \$10.0B inflow in operating cash flow. I therefore normalize FCF to about \$108B (my estimate, close to the \$107.7B TTM figure).
- **Balance sheet:** Cash and securities are about \$146.5B (\$39.5B cash, \$22.9B current and \$84.1B non-current securities). Debt is \$84.3B (\$2.0B commercial paper, \$11.0B current and \$71.3B long-term term debt). Net cash is about \$62B (my calculation from 8-K-EX-2026-07).
- **Latest quarter (June 2026):** Revenue was \$109.4B (+16%) and EPS \$2.02 (+29%). Excluding the \$0.11 tariff-refund benefit, EPS was about \$1.91, or +22% (my estimate versus \$1.57). Intangibles rose to \$20.3B from \$11.1B at the September 2025 year-end, and inventories rose to \$11.1B from \$5.7B. I did not check the cause of either.
- **Guidance:** September-quarter revenue +9-11%, which implies about \$111.7-113.7B (my arithmetic on \$102.47B). Gross margin is 47-48% (Q3 call summary).
- **Quality flags:**
 - Tariff refunds are non-recurring.
 - Share-based compensation was \$10.5B for nine months, about 2.9% of sales (my calculation).
 - R&D is growing much faster than revenue.
 - Other income swung to +\$572M from -\$171M in the June quarter.
 - Buybacks slowed to \$62.1B for nine months, from \$70.6B a year earlier.



Source: SEC XBRL (10-K as reported).

Cash conversion: free cash flow vs net income



Free cash flow = operating cash flow - capital expenditure. Source: SEC XBRL.

5. Management, governance and capital allocation

- **Leadership:** Cook moved to Executive Chair and Ternus (age 50, joined Apple in 2001, previously SVP Hardware Engineering) became CEO, effective Sept 1, 2026. Art Levinson became Lead Independent Director (8-K-2026-04-2). Kevan Parekh is CFO (8-K-EX-2026-07).
- **Pay:** CEO 2025 total compensation was \$74.3M, a 533:1 pay ratio (DEF14A-2026-02). Long-term equity is the large majority of target pay. Performance RSUs vest on relative TSR against the S&P 500, with target payout at the 55th percentile. The 2022 grants paid out at 187% of target on 81st-percentile TSR. The cash incentive plan paid out at maximum on \$416.2B of sales and \$133.1B of operating income. Target pay sits at the 80th-90th percentile of peers. Say-on-pay support was 92% in 2025. Incentives are aligned with the share price, though relative TSR does not penalize paying a high multiple (my view).
- **Insiders (12 months):** There were no open-market purchases. Open-market sales were \$116.1M (22 transactions), led by director Levinson (\$86.7M) and Cook (\$16.5M). The tool notes that many sales are pre-scheduled under 10b5-1 plans. The absence of any buying is a mild negative signal.
- **Capital return:** Buybacks were \$94.95B in FY24 and \$90.71B in FY25, and dividends about \$15B a year. Diluted shares fell from 16.33B in FY22 to 14.71B in the June 2026 quarter. The dividend is \$0.27 a quarter, a 0.32% yield. Buybacks at 38.3x trailing earnings earn an implied earnings yield of about 2.6% (my calculation, $1/38.3$). I found no acquisition data in the tools I used, so I make no claim about M&A.

6. Valuation

DCF assumptions (my estimates, run_dcf): 10-year forecast, net cash \$62B, 14.61B shares.

	Bear	Base	Bull
Starting FCF	\$100B	\$108B	\$112B
FCF growth, yr 1 → yr 10	4% → 2.5%	9% → 4%	12% → 5%
Discount rate	10%	9%	8.5%
Terminal growth	2.5%	3.0%	3.5%
Terminal value as % of EV	50%	59%	66%
Value per share	\$102	\$167	\$238
vs \$333.69	-69.3%	-49.9%	-28.5%

Base-case sensitivity (\$/share):

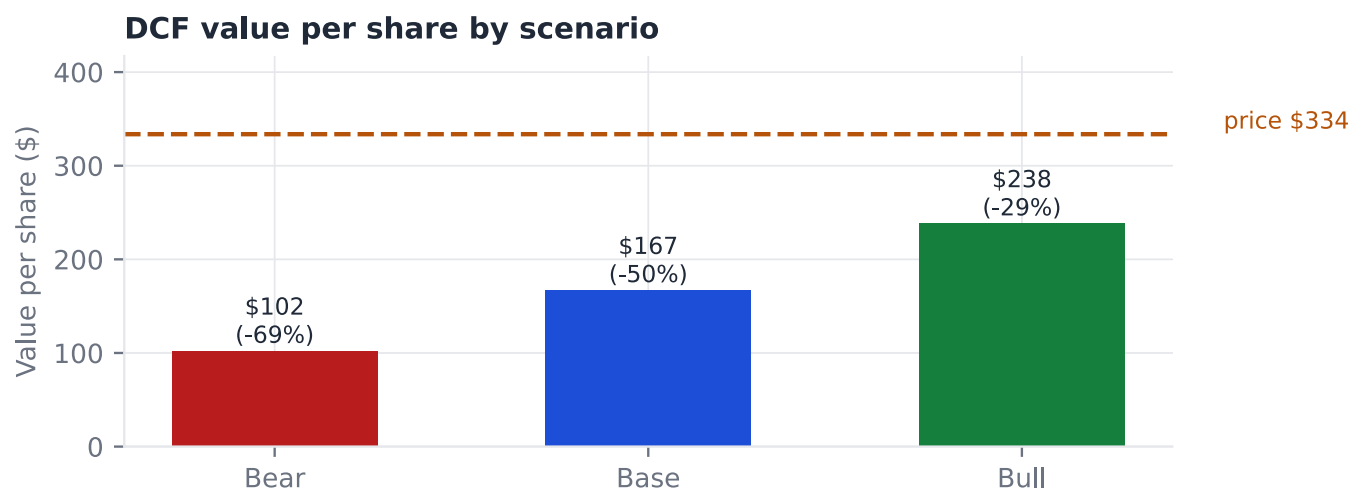
Discount rate \ terminal growth	2.5%	3.0%	3.5%
8%	189	201	216
9%	159	167	176
10%	138	143	149

A DCF this far below market means the market is assuming a much lower discount rate than the 8.5-10% I used, or sustained double-digit FCF growth. I read it as the market treating Apple as a scarce, low-risk compounder. The bull case, with 12% FCF growth falling to 5%, still produces only \$238.

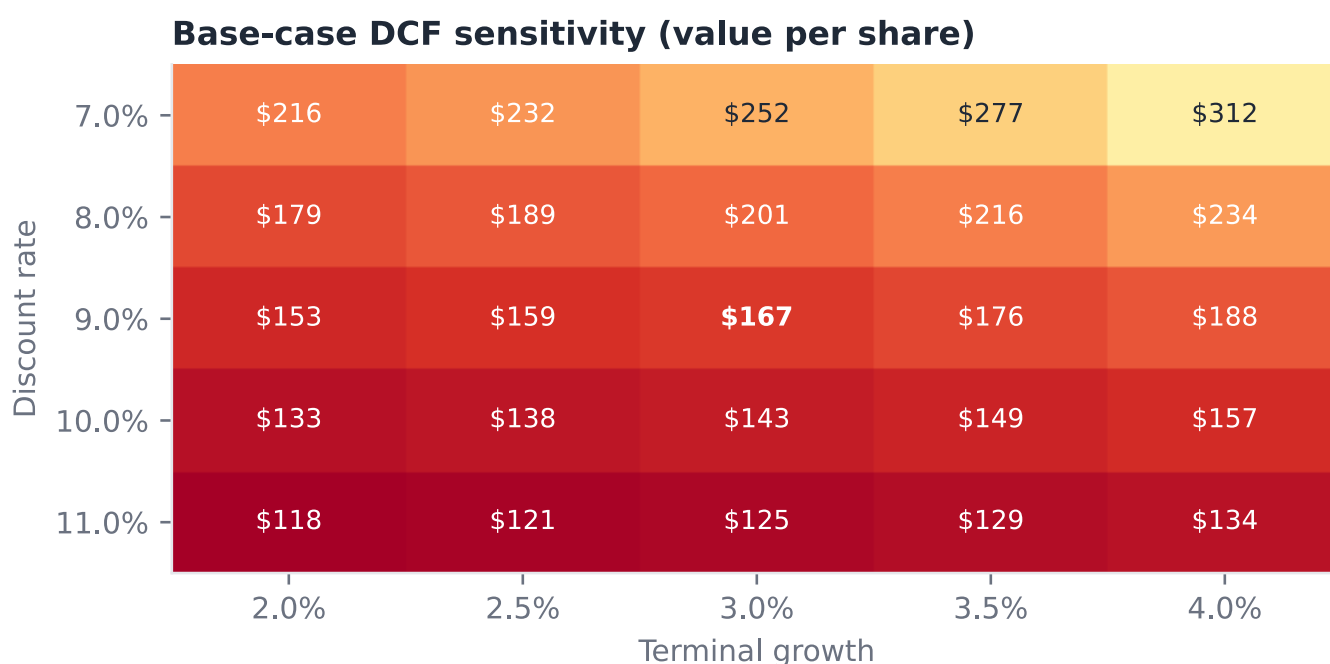
Multiples cross-check. Consensus FY27 EPS is \$9.58 (analyst estimates). I haircut this to \$9.40 (my estimate) for the loss of tariff-refund benefits, memory costs and rising R&D. FY28 EPS is then about \$10.20 (my estimate: $\$9.40 \times 1.085$).

Scenario	Assumption (my estimates)	Value/share	vs price
Bear	22x (peer-range multiple) × \$9.40 FY27 EPS	~\$207	-38%
Base (target)	28.5x × \$10.20 FY28 EPS	~\$291, rounded to \$290	-13.1%
Bull	33x × \$10.67 (highest analyst FY27 EPS estimate)	~\$352	+5.5%

The bear and bull rows use FY27 EPS and the base row uses FY28 EPS, so the rows are not strictly like-for-like. The 12-month target is \$290. I take FY28 EPS of \$10.20 as the forward earnings base in October 2027 and apply 28.5x, a discount to the current 34.8x forward multiple and still a premium to peers at 20.9-24.0x. DCF is an input for sizing conviction, not for the target.



Values recomputed from the agent's DCF inputs.



Green = above the current price, red = below. Centre cell is the base case.

7. Variant perception

- **Consensus:** The mean price target is \$328.09 and the median \$340, with 25 of 39 analysts at Buy or Strong Buy, 13 at Hold, and 6 at Sell or Strong Sell. Consensus FY26 EPS is \$8.82 and FY27 is \$9.58, with revenue of \$477.9B and \$528.0B. FY27 EPS consensus has drifted down from \$9.68 90 days ago to \$9.58, and 7 of the 9 recent FY27 revisions were downward.
- **My view differs in three ways:**
 1. FY27 EPS is likely to be around \$9.40, because tariff refunds should not repeat and memory costs are still rising, per the company's own commentary.
 2. The shares fell after hours despite a quarterly beat (investing.com transcript headline), which suggests sensitivity to guidance.

3. The stock trades about 11-14 forward-P/E points above peers whose growth is similar or higher, and I see no clear justification for that premium.

- **Where consensus may be right:** The mean target is close to the price, so analysts are not pricing much upside either. A successful Siri AI refresh or an iPhone upgrade cycle could justify a premium. The stock has outperformed the S&P 500 by about 14 points over one year (30.3% versus 16.2%) and trades above its 50-day (\$322.36) and 200-day (\$288.80) averages.

8. Key risks and mitigants (ranked)

1. **Multiple compression.** At 34.8x forward earnings, any growth miss could re-rate the stock. This is also the main risk to my Sell call, since momentum could persist. Signal: the September-quarter result and the holiday-quarter outlook.
2. **Margin pressure from memory and chip costs.** Apple states that gross margins will be "subject to volatility and downward pressure" (10-Q-2026-03). Memory costs were already a drag in the June quarter (10-Q-2026-06). According to a call summary (VectorShift), Apple has raised iPad and Mac prices, which is a partial mitigant.
3. **Google search-licensing remedies.** The D.C. court ordered remedies on Sept 2, 2025 and both sides have appealed. A reversal could impose DOJ-proposed remedies, such as prohibiting Google from offering Apple commercial terms for search distribution (10-Q-2026-06). I did not verify the exact current terms or the size of the revenue at stake.
4. **App Store regulation and litigation.** The April 30, 2025 injunction bars commissions on purchases outside apps and is on appeal to the Ninth Circuit. The DOJ monopolization suit is pending. EU Digital Markets Act fines can reach up to 10% of annual worldwide net sales (10-Q-2025-12).
5. **Supply constraints and tariffs.** Advanced-node supply is limited (Q3 call summary), and Greater China is 17.8% of nine-month sales. Tariff refunds boosted results, and a policy reversal could cost margin.
6. **CEO transition.** Terner has an engineering background and no prior CEO record, while Cook stays as Executive Chair. The board is stable under Lead Independent Director Levinson.
7. **AI positioning.** The Siri AI launch is new and unproven. R&D spending is rising fast (+32% in the June quarter), and returns on it are unknown.

9. Catalysts and timeline

All dates below are my estimates unless stated. Only the Q3 results date is confirmed in the filings.

- **Late October 2026:** FY26 Q4 results and the 10-K (last year's were on Oct 30, 2025, per 8-K-2025-10). Watch gross margin against the 47-48% guide and revenue against the \$113.6B consensus.
- **Late January 2027:** the holiday-quarter print, with consensus revenue of \$154.4B for the next quarter.

- **Ongoing, undated:** the Ninth Circuit ruling on the App Store injunction, the Google appeals, DOJ case milestones and EU DMA decisions.
 - **2027:** early evidence on Ternus's strategy and any capital-allocation changes.
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10. What would change our mind

- FY27 EPS tracking above \$10 with gross margin holding at or above 48% once tariff refunds drop out.
 - Services growth reaccelerating well above its current 14% with Siri AI driving measurable upgrade or subscription uplift.
 - A pullback to about \$250-260, which is 26-27x my \$9.40 FY27 EPS estimate (about 27.7x on the \$9.40 at \$260, my arithmetic). I would then move to Hold or Buy.
 - Evidence that the Google arrangement and App Store fees are safe, such as appeals resolved in Apple's favor.
 - Conversely, I would raise my conviction on Sell if the September-quarter margin is below 47% or FY27 consensus falls below \$9.20.
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Appendix: Sources

Filings reviewed:

- 8-K-EX-2026-07 (Q3 FY26 earnings release, filed 2026-07-30)
- 10-Q-2026-06 (filed 2026-07-31)
- 10-Q-2026-03 (filed 2026-05-01)
- 10-Q-2025-12 (filed 2026-01-30)
- 10-Q-2025-06 (filed 2025-08-01)
- 8-K-2026-04-2 (CEO transition, filed 2026-04-20)
- 8-K-2025-10 (filed 2025-10-30, cited only for the prior-year report date)
- DEF14A-2026-02 (proxy, filed 2026-01-08)

Data tools used: `get_company_profile`, `get_price_performance`, `get_financial_history`, `get_financial_statements` (quarterly income), `get_analyst_estimates`, `compare_peers`, `get_insider_activity`, `run_dcf` (three scenarios), `search_filings`.

Web sources (Q3 FY26 earnings call and guidance):

- Motley Fool transcript: <https://www.fool.com/earnings/call-transcripts/2026/08/07/apple-aapl-q3-2026-earnings-call-transcript/>
- Investing.com: <https://www.investing.com/news/transcripts/earnings-call-transcript-apple-beats-q3-2026-estimates-shares-fall-after-hours-93CH-4826459>
- VectorShift: <https://vectorshift.ai/research/companies/apple/earnings/2026-q3>

- Yahoo Finance: https://finance.yahoo.com/quote/AAPL/earnings/AAPL-Q3-2026-earnings_call-658553.html

Fact-check notes

- Thesis point 3 contained an arithmetic error: it implied $28x \times \$9.40$ gives about \$290, but that product is about \$263. I rewrote it to use $28.5x \times \$10.20$ FY28 EPS = \$290.7, which matches Section 6.
- Removed the unsupported claim that the multiple had moved from "roughly 30x in FY24 to 38x". I replaced it with the sourced 38.3x trailing and 34.8x forward multiples.
- Removed the unsupported claim that Apple "has made no large acquisitions". I now state that I found no acquisition data.
- Replaced the "market implies a 6-7% discount rate" claim with a qualitative statement, because I had not computed it.
- Removed the unverified claim that the Google remedies currently allow continued payments. Risk 3 now states what the filing says and that I did not verify the terms.
- Corrected the peer premium to about 11-14 forward-P/E points in both Sections 3 and 7, where the two sections previously disagreed.
- Replaced "flat to low-single-digit growth since FY22" with the actual rates: -2.8%, +2.0% and +6.4%.
- Corrected the implied buyback earnings yield to 2.6%, using 38.3x, from 2.7%.
- Showed bull-case upside as +5.5% and the DCF discounts to the tool's exact percentages (-69.3%, -49.9%, -28.5%).
- Noted that the bear and bull multiples use FY27 EPS and the base uses FY28 EPS.
- Softened or labelled several unsourced judgments as my own view: the margin drivers, AI positioning, the moat, the iPad and Mac price increases (now attributed to VectorShift) and the "sold into strength" insider framing.
- Clarified that the "7 of 9 downward revisions" figure refers to FY27 estimates.
- Marked catalyst dates as estimates and removed the vague "mid-October" and "early 2027" items.
- Added the missing source for the "Oct 30" reference (8-K-2025-10), removed the specific \$250-260 "26-27x" claim and replaced it with the arithmetic ($\$260 / \$9.40 = 27.7x$), and noted the Samsung exclusion.
- Verified and left unchanged: the segment and region tables, 10-year table and operating margins, balance-sheet figures, insider totals, analyst counts and targets, DCF outputs and the \$290 target math.

Disclosures

Producer

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Date and price

Produced 04 October 2026, 00:11 (local time). Price used: \$333.69 (close 2026-10-02). Prices and data may have changed since.

Recommendation

Sell (underweight), 12-month target \$290 (-13.1%). Buy = expected to outperform its current price materially over 12 months; Hold = roughly in line; Sell = expected to fall materially. The target is an estimate, not a forecast or guarantee.

Methodology

Discounted cash flow (bear / base / bull scenarios with a sensitivity analysis), peer valuation multiples and analyst consensus, based on the company's SEC filings, Yahoo Finance data and web sources cited in the memo. Estimates and opinions are labelled as such. An automated fact-check pass reviewed the draft; errors may remain.

Conflicts of interest

Renzo Aldana holds no position in AAPL at the time of publication. The author receives no payment from AAPL or any other party for this memo.

Previous recommendations

No previous recommendations on AAPL have been published by this project.

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